

myths are used as excuses and alibis by those who have failed at futures trading for a variety of reasons, some of them rather personal. Perhaps they lacked the ability to concentrate or did not possess sufficient analytical skills; perhaps they lacked a well-adjusted personality, a mature temperament, or business discipline. Others fail because they lack adequate capital; but capital, although important, is not usually the central reason individuals fail at trading.

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*Futures trading today represents one of the last frontiers of the business world.*

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Take the element of luck. Futures trading is one of the few areas where luck is of minimal importance. While luck never hurts (and on occasion—as in all things—it can play an important role) luck, in general, is not a factor. Luck can go both ways and usually evens out. And good luck can also have an adverse effect. For example, a trader who is lucky in his early trading experience either has learned nothing or has learned the opposite of what he should. In the long run, an early streak of good luck will do him in.

In the final analysis, success at trading futures is determined by the person's ability to decipher and analyze salient facts and statistics in order to reach a logical opinion about the intermediate or ultimate price of a given product. In short, it depends on the ability to correctly measure supply and demand.

If that sounds simple, it isn't! It is a most difficult task. Implicit in the challenge are some exacting requirements: knowing the significant economic components that can affect the price of a given product; keeping abreast of current facts and statistics; comprehending these facts and their effects on supply and demand; correctly prorating the importance of the various components as they apply to a given price structure—a ratio that changes from year to